

Recommendations

Business Analyst Case Study | Dataset: Olist E-Commerce (seller marketplace)

06 · RECOMMENDATIONS

Recommendation 1: Tenure-Based Onboarding Gate

Introduce a quality-monitoring gate for sellers in their first 30 days, before their full catalog or order volume is scaled up. Rather than a fixed calendar-based gate, a tiered rollout is preferable: new sellers start with limited SKU or order-volume access, which scales up automatically as their fulfillment rate proves out. This ties trust to demonstrated performance rather than time elapsed, and avoids penalizing genuinely capable new sellers unnecessarily.

Prioritize rollout by category impact: the automotive category shows the widest new-seller vs. established-seller gap (2.51% vs. 0.51%) and should be the first category piloted.

Recommendation 2: Standing Pod-Level Metric

Track cancellation rate by seller-tenure bucket as an ongoing pod-level metric, not only as an overall rate. An aggregate metric dilutes the new-seller cohort's performance into the whole population; a bucketed view keeps the highest-risk cohort visible on a continuous basis.

Recommendation 3: Periodic Re-Segmentation

Re-run this segmentation periodically (e.g. quarterly) as the new-seller share of total volume grows. A fast-growing, underperforming cohort can quietly pull the aggregate cancellation rate upward over time even while no single monthly number looks alarming in isolation.

Why This Prioritization Logic

Recommendations are ranked by a simple filter: does the segment combine a meaningfully elevated rate with enough volume to matter, and is the underlying cause something the business can plausibly act on in the near term? The automotive / new-seller segment satisfies all three: a statistically validated rate gap, a specific and addressable root cause (seller operational maturity), and a natural intervention point (the onboarding period itself).

Sizing the Potential Impact (Illustrative)

Assuming a marketplace processes several million orders per month and new sellers (under 30 days) represent roughly 10–15% of order volume — a plausible range for a marketplace actively onboarding new supply — closing even half the tenure gap (from 1.08% toward the established rate of 0.40%) within that cohort would meaningfully reduce total problem orders without requiring any change to the other 85–90% of the marketplace. This figure is illustrative, using assumed proportions rather than company-specific data, but demonstrates the order of magnitude a tenure-based fix could plausibly deliver.

Next Metric to Track

Cancellation rate for the 0–30-day seller cohort, tracked weekly, to measure whether the onboarding gate reduces it toward the established-seller baseline of 0.40% over time.

Success Criteria

Metric	Current	Target
New-seller (0-30 day) cancellation rate	1.08%	Trending toward 0.40-0.60%
Automotive category new-seller rate	2.51%	Trending toward 0.51-1.0%
Overall marketplace cancellation rate	1.24%	Modest downward drift as tenure effect shrinks